

Tata Motors Financial Performance & Business Health Analysis

Consolidated financial review | FY2021 to FY2025

This report summarises the project analysis built from Tata Motors' consolidated financial statements, project-created CSV datasets, Excel model, SQL queries, and Power BI dashboard. The focus is on financial performance, profitability, liquidity, leverage, cash flow and business health over FY2021-FY2025.

Prepared for	CV Portfolio Project
Company analysed	Tata Motors Limited - Consolidated
Period covered	FY2021 to FY2025
Tools used	Python, SQL, Excel and Power BI
Units	INR crore; ratios in % or times
Source basis	Tata Motors Integrated Annual Reports FY2020-21 to FY2024-25 and Q4 FY25 Results

This report avoids standalone assumptions and uses only the project datasets and calculated ratios. Recommendations are derived from the trends shown in the analysis.

1. Executive Summary

Revenue from operations increased from Rs. 249,795 cr in FY2021 to Rs. 439,695 cr in FY2025, a total increase of 76.0% across the period. Profit after tax moved from Rs. -13,395 cr in FY2021 to Rs. 28,149 cr in FY2025, showing a clear turnaround from the loss-making years.

FY2024 was the strongest profit year in the dataset, with PAT of Rs. 31,807 cr and net profit margin of 7.3%. FY2025 stayed profitable, but PAT declined by 11.5% year-on-year while revenue remained almost flat.

The balance sheet shows a meaningful reduction in leverage. Debt-to-equity declined from 2.02x in FY2021 to 0.51x in FY2025. Current ratio stayed below 1.0x in every year, so short-term liquidity remains a point to monitor.

Cash generation improved materially compared with FY2021-FY2022. In FY2025, operating cash flow was Rs. 63,102 cr and auto free cash flow was Rs. 22,348 cr.

Metric	FY2021	FY2025	Movement
Revenue from operations	Rs. 249,795 cr	Rs. 439,695 cr	+76.0%
Profit after tax	Rs. -13,395 cr	Rs. 28,149 cr	Turnaround to profit
Net profit margin	-5.4%	6.4%	+11.8 pp
Debt-to-equity	2.02x	0.51x	-1.51x
Operating cash flow	Rs. 29,001 cr	Rs. 63,102 cr	Strong improvement
Auto free cash flow	Rs. 5,317 cr	Rs. 22,348 cr	Higher vs FY2021

2. Dataset and Methodology

The project uses consolidated financial information. The cleaned datasets are structured into income statement, balance sheet, cash flow statement and financial ratios. The same data is used across Python notebooks, SQL scripts, the Excel model and the Power BI dashboard to keep the analysis consistent.

Layer	Purpose
Python notebooks	Data validation, ratio analysis, chart generation and business insight tables
SQL scripts	Database table creation and analysis queries for financial statement metrics
Excel model	Formula-driven ratio model, growth analysis and dashboard summary
Power BI dashboard	Interactive presentation of performance, liquidity, debt, cash flow and recommendations

3. Revenue and Profitability Analysis

Revenue grew from Rs. 249,795 cr in FY2021 to Rs. 439,695 cr in FY2025. The highest year-on-year revenue growth was in FY2024 at 26.6%. FY2025 revenue growth was modest at 0.4%.

Profitability improved sharply after FY2021 and FY2022. Net profit margin moved from -5.4% in FY2021 to 6.4% in FY2025. FY2024 was the peak margin year in the five-year period.

Year	Revenue	Revenue Growth	PAT	PAT Growth	Net Profit Margin	ROA	ROE
FY2021	Rs. 249,795 cr	-	Rs. -13,395 cr	-	-5.4%	-3.9%	-23.6%

Year	Revenue	Revenue Growth	PAT	PAT Growth	Net Profit Margin	ROA	ROE
FY2022	Rs. 278,454 cr	11.5%	Rs. -11,309 cr	-15.6%	-4.1%	-3.4%	-21.4%
FY2023	Rs. 345,967 cr	24.2%	Rs. 2,690 cr	-123.8%	0.8%	0.8%	5.3%
FY2024	Rs. 437,928 cr	26.6%	Rs. 31,807 cr	1082.5%	7.3%	9.0%	43.7%
FY2025	Rs. 439,695 cr	0.4%	Rs. 28,149 cr	-11.5%	6.4%	7.5%	26.1%

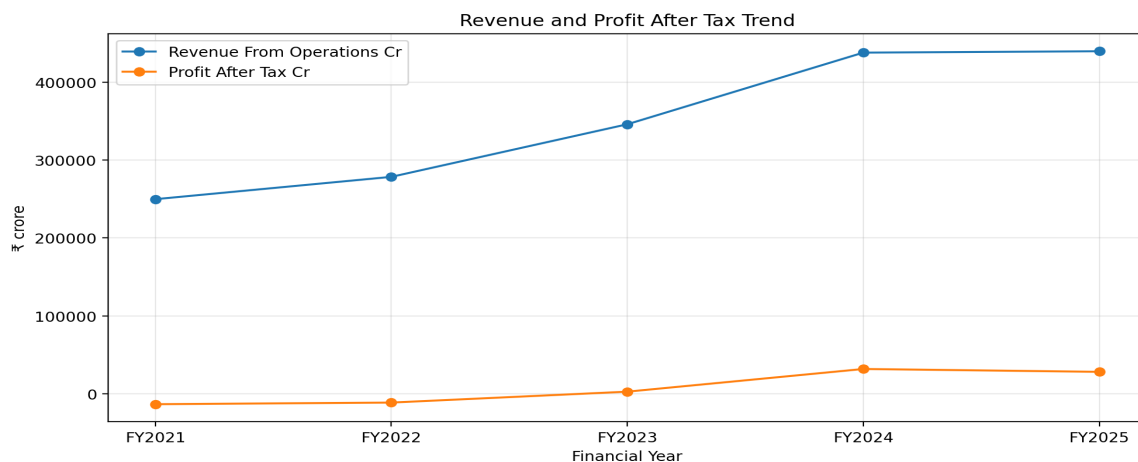


Figure 1: Revenue and profit after tax trend

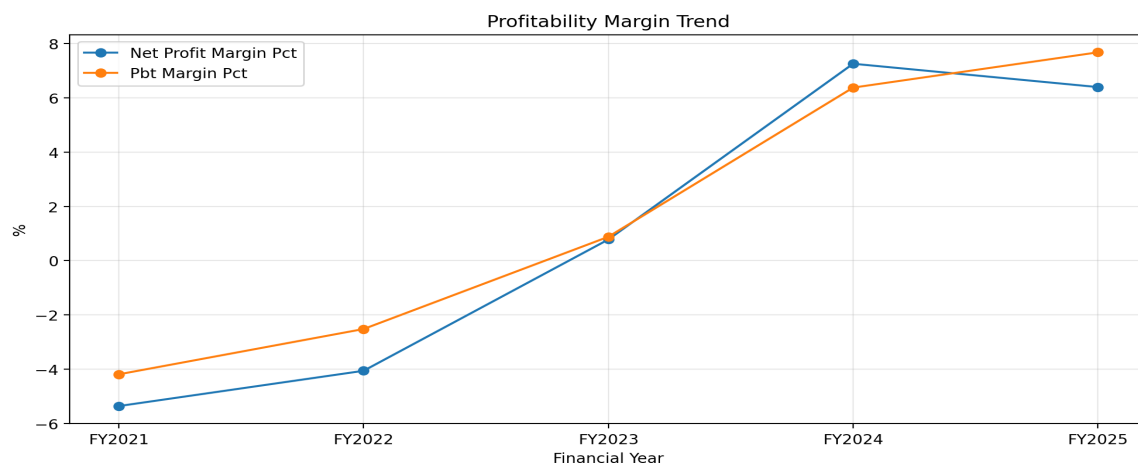


Figure 2: PBT margin and net profit margin trend

4. Liquidity and Debt Position

Current ratio stayed close to, but below, 1.0x throughout the period. The ratio was 0.96x in FY2025. Quick ratio was 0.68x and cash ratio was 0.37x in the same year.

Debt reduction is one of the clearest improvements in the dataset. Total borrowings reduced from Rs. 114,776 cr in FY2021 to Rs. 62,499 cr in FY2025. Debt-to-equity improved from 2.02x to 0.51x.

Year	Current Ratio	Quick Ratio	Cash Ratio	Working Capital	Debt-to-Equity	Debt Ratio	Borrowings
FY2021	0.93x	0.70x	0.32x	Rs. -10,862 cr	2.02x	0.83x	Rs. 114,776 cr
FY2022	0.98x	0.74x	0.40x	Rs. -3,705 cr	2.86x	0.85x	Rs. 139,677 cr
FY2023	0.98x	0.71x	0.33x	Rs. -3,499 cr	2.39x	0.84x	Rs. 125,660 cr
FY2024	0.97x	0.69x	0.31x	Rs. -5,225 cr	1.06x	0.75x	Rs. 98,500 cr
FY2025	0.96x	0.68x	0.37x	Rs. -6,359 cr	0.51x	0.68x	Rs. 62,499 cr

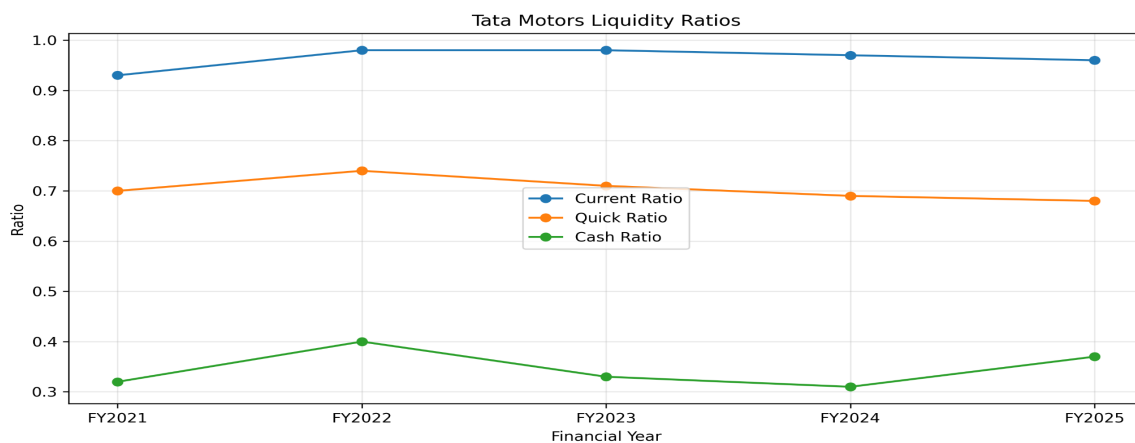


Figure 3: Liquidity ratio trend

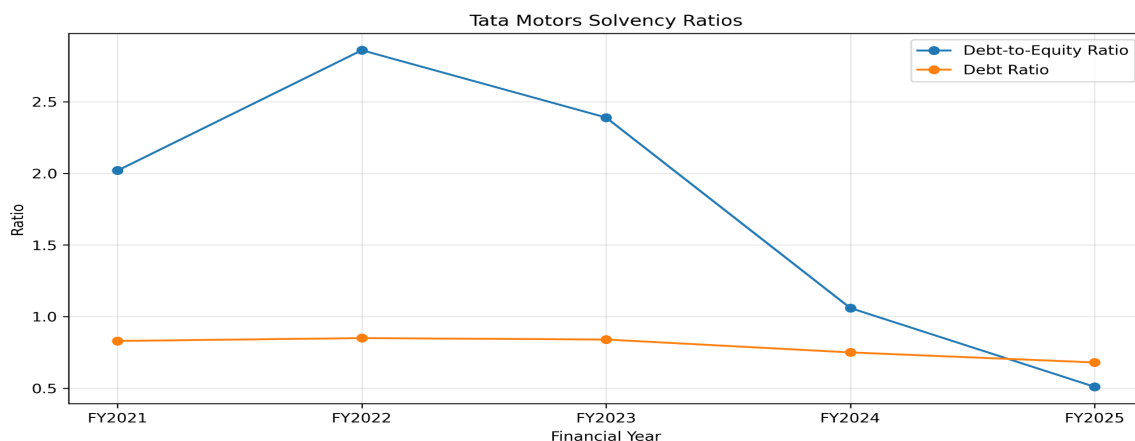


Figure 4: Debt and solvency trend

5. Cash Flow Analysis

Operating cash flow strengthened from Rs. 29,001 cr in FY2021 to Rs. 63,102 cr in FY2025. FY2024 had the highest operating cash flow in the five-year period at Rs. 67,915 cr.

Auto free cash flow was negative in FY2022 but recovered strongly in FY2024. In FY2025, auto free cash flow was Rs. 22,348 cr, lower than FY2024 but still much stronger than the earlier years.

Year	Operating Cash Flow	Auto Free Cash Flow	OCF Margin	FCF Margin
FY2021	Rs. 29,001 cr	Rs. 5,317 cr	11.6%	2.1%
FY2022	Rs. 14,283 cr	Rs. -9,254 cr	5.1%	-3.3%
FY2023	Rs. 35,388 cr	Rs. 7,840 cr	10.2%	2.3%
FY2024	Rs. 67,915 cr	Rs. 26,924 cr	15.5%	6.2%
FY2025	Rs. 63,102 cr	Rs. 22,348 cr	14.3%	5.1%

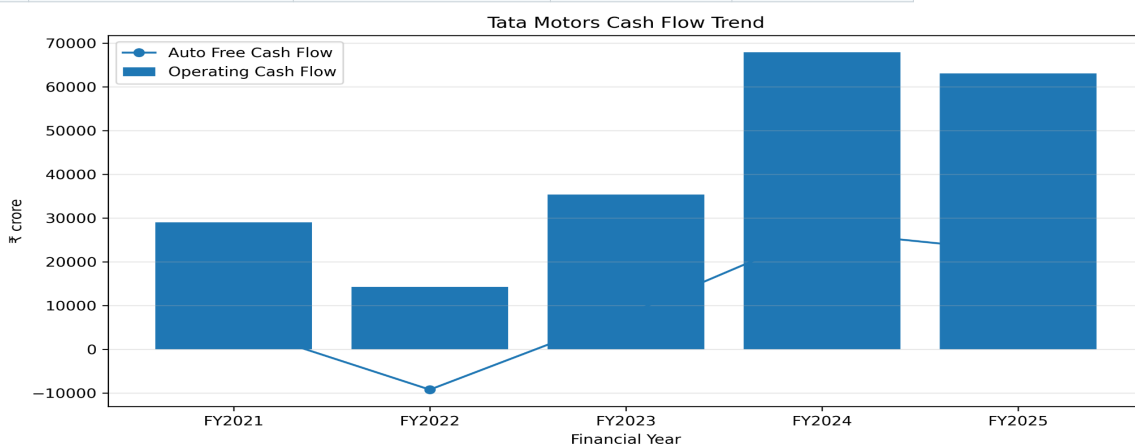


Figure 5: Operating cash flow and auto free cash flow trend

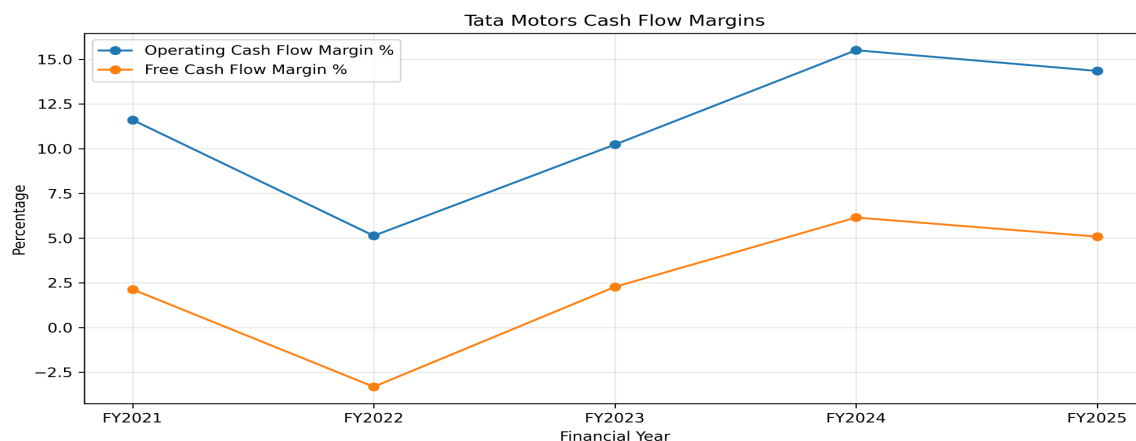


Figure 6: Cash flow margin trend

6. Business Health Scorecard

The business health scorecard summarises profitability, liquidity, debt control, cash generation and growth quality into one tracking view. The score should be read as a project-level analytical indicator, not as an external credit rating.

Year	Business Health Score	Main reading
FY2021	38.2%	Weak base year with losses and higher leverage
FY2022	31.8%	Lowest score due to pressure on profitability and cash flow
FY2023	39.5%	Recovery year; profitability turned positive
FY2024	81.9%	Strongest year across profitability and cash generation
FY2025	64.8%	Profitable and less leveraged, but lower than FY2024 due to PAT and FCF decline

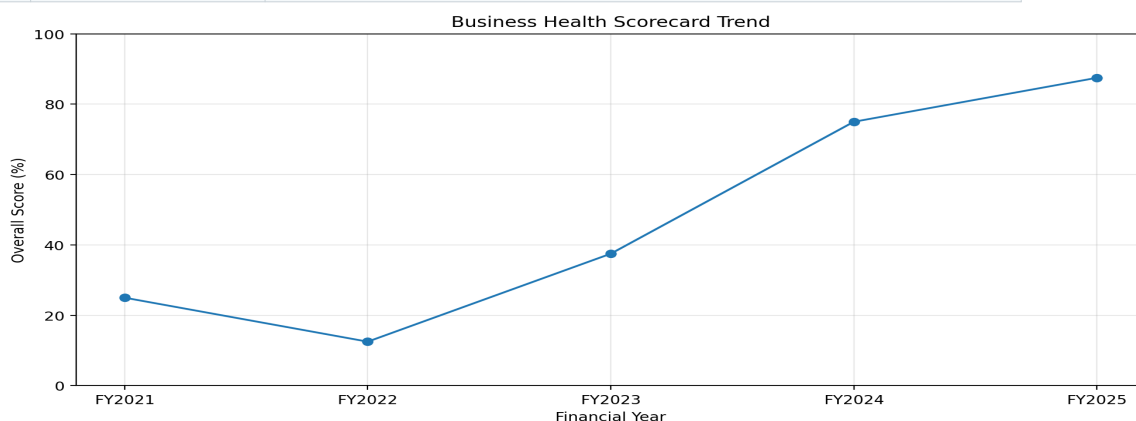


Figure 7: Business health score trend

7. Key Findings

- Revenue scale is materially higher than FY2021. The five-year increase is 76.0% and FY2025 revenue remained near the FY2024 record level.
- Profitability moved from losses in FY2021-FY2022 to positive margins in FY2023-FY2025.
- FY2024 was the strongest year in the dataset for PAT, ROE and operating cash flow.
- Debt-to-equity reduced to 0.51x in FY2025, showing better balance-sheet strength.
- Current ratio remained below 1.0x, so short-term liquidity is still the main area to monitor.
- FY2025 stayed financially stronger than FY2021-FY2022, but PAT and free cash flow declined from FY2024.

8. Recommendations

- Maintain focus on cost control so that revenue stability converts into stronger margins.
- Continue reducing leverage and finance costs while protecting investment in future products and technology.
- Improve short-term liquidity by monitoring current assets, current liabilities and working capital movement.
- Track free cash flow closely because FY2025 declined from the FY2024 peak despite remaining positive.
- Use segment-level reporting after the demerger to compare CV, PV/EV and JLR performance more clearly.

9. Conclusion

The five-year view shows a clear financial recovery for Tata Motors. Revenue expanded, profitability returned, debt pressure reduced and cash generation became stronger than the early-period base. The main watchpoints are short-term liquidity and the decline in FY2025 profitability and free cash flow compared with FY2024. Overall, the project dashboard and supporting analysis show a business that has improved materially since FY2021, while still requiring disciplined margin, liquidity and cash-flow monitoring.

Appendix: Project Files Used

Category	Files
Cleaned datasets	income_statement_combined_FY2021_to_FY2025.csv; balance_sheet_combined_FY2021_to_FY2025.csv; cash_flow_statement_combined_FY2021_to_FY2025.csv; financial_ratios.csv
Notebooks	01_data_cleaning_and_validation.ipynb; 02_financial_ratio_analysis.ipynb; 03_visualization_and_business_insights.ipynb
SQL	MySQL Workbench-ready table creation and analysis query scripts
Excel	tata_motors_financial_ratio_model.xlsx
Power BI	tata_motors_financial_dashboard.pbix
Report	tata_motors_business_insights_report.pdf

Note: All figures are project-level extracted/cleaned values based on the annual reports and Q4 FY25 financial results. Minor rounding differences may occur because annual report figures are presented in crore and some charts use rounded values.